

relation to the favored issues. Surely this can be true in theory, since at *some* price level the good stocks must turn out to have been selling too high and the others too low. There are strong, if not conclusive, reasons for arguing that this point may have already been reached in 1940. The two possible points of weakness in the “good stocks” are paralleled by corresponding favorable possibilities in the others. The numerous issues selling below net current asset value, even in normal markets, are a powerful indication that Wall Street’s favoritism has been overdone. Finally, if we carry the analysis further, we must realize that the smaller listed companies are representative of the hundreds of thousands of private enterprises, of all sizes, throughout the country. Wall Street is apparently predicting the continued decline of *all* business except the very largest, which is to flourish mightily. In our own opinion such a development appears neither economically probable nor politically possible.

Similar doubts may be voiced as to the stock market’s emphasis on certain favored industries. This is something that, by the nature of the case, must always be overdone—since there are no quantitative checks on the public’s enthusiasm for what it likes. Not only has the market invariably carried its optimism too far, but it has shown a surprising aptitude for favoring industries that soon turned out to be facing adverse developments. (Witness the baking stocks in 1925, the radio and refrigeration issues in 1927, the public utility and chain stores in 1928–1929, the liquor issues in 1933.) It is interesting to compare the “investor’s” eagerness to buy Abbott Laboratories in 1939 and his comparative indifference to American Home Products—the one kind of pharmaceutical company being thought to have brilliant, and the other to have only mediocre, prospects in store. This distinction may prove to have been soundly and shrewdly drawn; but the student who remembers the market’s not so remote enthusiasm for American Home Products itself and its companions (particularly Lambert) in 1927 can hardly be too confident of the outcome.²

Interest Rates. Coming now to the third point of importance, *viz.*, the relation between interest rates and common-stock prices, it is

² Data relating to these three companies are given in Appendix Note 1.